

These case studies were designed to answer the following four key questions in determining an investor's modified portfolio:

1. Which biases does the client show evidence of?
2. What effect do the client's biases have on the asset allocation decision?
3. What action should Mr. Spencer take: moderate or adapt to these biases?
4. What is the appropriate behaviorally modified asset allocation for each client?

In the real world of investing, each client and each advisor is different; therefore, these case studies illustrate an approach to diagnosing and devising strategies for behaviorally biased clients rather than specific strategies. In each case, put yourself in the role of the advisor, Mr. Spencer, and consider how you (Spencer) would deal with the client given the situation and how you would approach the issues presented. The case studies will contain the following format, which is a simulation of the approach that advisors might encounter with a client:

- Introductory description of the case.
- Identification of behavioral finance biases.
- Effect of biases on asset allocation decision.
- Action to be taken in response to identified biases (moderate or adapt).
- Recommendation for the behaviorally modified asset allocation.

These cases involve hypothetical investors and are not intended to represent all investor types. Each client is unique and will differ from the clients described in these case studies. What is important is to follow the process that is being described on how to identify biases, how to determine what the appropriate course of action is for dealing with the biases, and how to adjust or not adjust the rational mean-variance portfolio recommendation for biased behavior.

Capital Markets Assumptions: For each of the case studies, assume that for the past three years, the stock market has experienced moderate and steady increases and interest rates have been stable. For simplicity, we will assume that the investors in the case studies will be limited to investing in three asset classes: stocks, bonds, and cash. Diagnosis for biases is done in two steps in the following way. First, a basic questionnaire (Table 25.1) is given that assesses the 20 biases presented in the previous chapters. *Note that the choice of responses would normally be in a multiple-choice format, but in the interest of length, only the questions are shown here.* The questions do not follow the order of presentation of biases in the book but instead intersperse emotional, belief perseverance, and information processing biases because it is advisable to not cluster questions about similar types of